



## How it works

The primary market is where new shares are created and first issued, whereas the secondary market is where shares that have already been issued are traded between investors. When a company is preparing to float on the primary market, investment banks will

set a price at which the new shares will be offered. They may also underwrite the Initial Public Offering (IPO) and guarantee to take on unsold shares. The issue price is fixed, but shares may be resold at a different price on the stock exchange (in the secondary market) from the first day of issue.

### Stock exchange

Investors can buy and sell shares that have already been floated and these are available in the secondary market.

#### SHARE PRICE

Prices are not fixed and change with the fortunes of the company, supply and demand for the shares, and financial and economic news.

### Secondary market

When investors talk about shares being bought and sold, they are usually talking about transactions taking place in the secondary market. This is where shares are traded between investors. Trading is facilitated by brokers or dealers who take commission on trades. Dealers also earn profit on the spread, or difference, between the price at which they buy and sell shares. These dealers are known as market makers and maintain liquidity by offering a buy and sell price at which they will accept trades. The secondary market includes the London Stock Exchange, New York Stock Exchange, the Nasdaq, and other stock exchanges in countries around the world.



## THIRD AND FOURTH MARKETS

Institutional investors such as pension funds or hedge funds tend to trade stocks and shares in significant volumes. The third and fourth markets cater to these higher-volume trades. The third market operates between

large investors and broker-dealers. The fourth market caters to large investors who buy and sell shares to each other. The cost of trades tends to be lower than in primary and secondary markets because there

are no brokers' commissions. Although the stock may be listed on the main stock exchanges, the trades that take place are not put through them, and large trades can be made anonymously.